

Q&A: Industry association's view



In a freewheeling conversation with EFM, Anup Wadhwa, director, Automation Industry Association (AIA), shares his views on policy framework and required ecosystem to attract investment.

How are government policies accelerating the growth of the industrial automation industry? What more needs to be done?

At the ground level, the government is pushing for low-hanging results of digitisation. This is welcome but nowhere reflects the clarity or urgency to operationalise reform in advanced manufacturing education and material innovation. Industrial automation needs a strong manufacturing ecosystem to demonstrate its potential. There is a sense among experts that the next big thing in manufacturing would be use of the IoT, Big data and Industry 4.0, where automation will play a crucial role. The new possibility is backed by governments in Germany, the USA and Japan but is driven by their automation experts. India can leap-frog if it collectively visualises and assimilates the advantages that the IIoT brings to the existing ecosystem of Indian OEMs, SME suppliers, equipment makers and service industries. By doing so, we can seriously innovate and not land up with a copy-and-paste strategy.

Technologies are meant to serve people and social aspirations. Companies that have embraced PORST values, which is short for productivity, quality, reliability, safety and transparency, have always been at the forefront. However, when country cultures need to change, government actions affirming those values become imperative.

These are some of the aspects where the government can act by announcing time-bound changes:

1. Laying down standards of workplace safety that are globally contemporary, so that machine builders and safety auditors can find their mandated SIL guidelines within the Factories Act of 1948
2. Tighter regulation on pollution by the industry and strict enforcement by regulators, using automated monitoring systems that work 24/7. Data from such monitoring systems can be made available on public websites
3. Setting energy-efficiency goals that stimulate energy saving and recycling processes. In due course, businesses will find the ROI in their favour
4. Incubating and incentivising industry-academia-research collaboration in engineering and manufacturing to attract more inspired minds into our manufacturing ecosystem. Kudos to Ministry of Skill Development and Entrepreneurship (MoSDE) for setting up a pilot project that connects the Industrial Training Institutes (ITIs) with the Indian Institutes of Technologies (IITs)

If this happens, the need for automation would become holistic as it will not only be about a machine that runs fast but also smartly adjusts, self-reports, consumes less energy and pollutes less. These are visionary areas and with sharper government policies and sustained execution, we could see businesses and education change gears.

global over-capacity. So, we are expecting a little flattening of demand from those areas but the sectors with good prospects are pharmaceuticals, food processing, engineering components and defence manufacturing. Also, the next big push is going to come from the infrastructure sector."

On the same lines, Sameer Gandhi, managing director, Omron Automation India, adds, "Our key focus areas are food and beverage (F&B), FMCG, packaging and automotive

sectors. Basically these are the sectors driving the demand. Another key sector that is contributing to the demand is the infrastructure sector through projects like metros and smartcities."

Sudhir Dembi, general manager - plant solutions, Schneider Electric India, adds, "Industries are being driven by increasing infrastructure investments in new economies, the push to modernise aging systems and equipment, increasing regulations, increasing market speed and volatil-

What is your take on an ideal ecosystem that attracts industrial automation players to set up their plants in India?

The decision for an automation company to set up its plant in India will depend on the viability assessment by that company. There are a few challenges, though.

1. Like the IT industry, electronics hardware in automation keeps changing every few years. And the volume that is needed to sustain Make in India drive has to be economically viable.

2. Growth expected from local markets has to be a big chunk of the above. If the government is expecting an export-oriented plant, then it will either have to wait for global demand to surge so that an additional plant is required, or local factors have to contribute towards the success of that plant economically as well, so that over a period of time, making that product in India will be better than making it in Germany, Japan or the USA.

For companies that are announcing plants including Foxconn, I think a large part—about 40 per cent—of that production will be absorbed in India.

How do you see the scope of electronics industry in this?

Most of the players that are in India for the long haul make the housing for electronics in India. Wiring, fitment of supporting equipment like fans, heat-sinks, transformers and even power supplies are now being done in India. What is not being done in India is the manufacturing of central processing unit (CPU) boards and input/output (I/O) boards. My sense is that, there may be a chance for I/O boards to be made in India with a little more standardisation within the company and the industry. CPU boards, however, may be relegated towards the end.

What initiatives has AIA taken to accelerate the growth of industrial automation in India?

One charter is on regulatory compliances where we are working as a channel for the industry to send their message to the government.

Second, we are working on education and skill development. As part of our campus-connect drive, we have already developed the foundational elements of UG curriculum on Integrated Industrial Automation, which can be taken by any college or university for mechanical, electrical, instrumentation or chemical engineers. It is an open course designed for engineers and teachers for creating solutions by looking at a range of automation technologies available.

Another one is linked with the skill development or re-training of people who are already deployed by the industry. As part of our latest initiative on this front, in WIN India exhibition 2015, we are setting up an automation training zone. The zone will have dedicated clinics for automation system engineering, energy management, industrial networking, safety practices and quality management. These are the five important skills in automation for integrated operations that more people must embrace and practice consistently.

ity, and disruptive technology trends that change everything. Currently, automotive, power and oil and gas are the sectors that are driving the demand for industrial automation."

What is holding the industry back

There are multiple challenges that have to be overcome to unearth the true potential of industrial automation in Indian market. "So far, in most of the automated plants in India